DEEPSTACK The Buildout · Part 10 · Memo

MARKETS

The Bubble Is in the Denominator

The S&P 500 looks cheaper because profits surged. But those profits depend on AI spending, chip values and debt that may be inflating the denominator while raising the discount rate.

By DeepStack · October 7, 2026 · Markets · 9 min read on the page · deepstack.ltd/stories/the-bubble-is-in-the-denominator/

THE DEEPSTACK CALL

Skeptical Cheap is conditional

The market is not cheap. It is capitalizing AI earnings before anyone knows who owns them.

Conviction High (4/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Hold the 5.26% earnings yield (19.0 times earnings) against the 10-year: when the bond pays more, stocks offer no risk premium.
2. Stress-test the 29.5% earnings growth for server lives and depreciation before you pay for it.
3. Treat the $250 billion of hyperscaler bonds as competition for the savings that set the discount rate.

WHAT WOULD CHANGE OUR MIND

- Used-chip values and server lives hold after scarcity fades.
- Productivity turns higher and lab revenue compounds toward the checks the infrastructure requires.

THE FULL ARGUMENT

DeepStack's view is that the market's apparent cheapness is conditional, not protective. The most important reason is the circular financing loop: AI spending becomes supplier revenue and reported profit, while the bonds funding that spending compete for the savings that set the discount rate. That does not make every technology share a bubble, and the broad profit advance is real enough to keep the bullish case alive. The view changes if used-chip values hold after scarcity fades, server lives remain economic, productivity turns higher and lab revenue compounds toward the checks the infrastructure requires. Until then, the market is capitalizing an earnings stream before its economic owner has been identified.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Cheap is conditional	High (4/5)	Side named by the owner.	Marco Cauduro
v1	Oct 7, 2026	Cheap is conditional	High (4/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

19.0x
S&P 500 forward multiple
FactSet, as of Oct 2, 2026

29.5%
Expected Q3 earnings growth
FactSet, as of Oct 2, 2026

$250B
Hyperscaler high-grade bonds
Apollo presentation via Leyla Kunimoto, through August 2026

5.31%
10-year Treasury yield
CNBC, closing yield on Oct 5, 2026

WHO IS ON EACH SIDE

Does the hardware hold its value?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: deepstack.ltd/sides/the-bubble-is-in-the-denominator/

6 VOICES

A model, not a price

Michael Burry Sep 28, 2026
CoreWeave and Nvidia's efforts to show stamina in the pricing of their chips are simply at odds with the depreciation realities lenders actually face.
michaeljburry.substack.com/p/short-thoughts-a-wall-street-titan

Michael Burry Sep 28, 2026
Manufacturers such as Nvidia and hyperscalers such as Oracle and Google Cloud are offering residual value guarantees for chips not because they want to but because lenders require them, given that chip depreciation is a very real problem following...
michaeljburry.substack.com/p/short-thoughts-a-wall-street-titan

Ren Sep 28, 2026
Architectures change faster than factories can retool, and with NVIDIA targeting up to 30% lower total cost of ownership with 800 VDC, a shift that large rewards whoever redesigns fastest, so today's winning box may not win in five years, which...
renstocks.substack.com/p/power-supply-supply-chain

Ren Sep 15, 2026
The popular Jevons-paradox story that cheaper inference means bulk consumption and justifies simply buying the picks-and-shovels trade does not match Astra's actual pricing, since Astra's tokens got more expensive per unit (versus Sol, 2.5x on...
renstocks.substack.com/p/openai-astra-has-agi-arrived

Kakashii Oct 5, 2026
Kakashii calculates that Nvidia's plan to ship over 10 million chips of Blackwell and Rubin by the end of 2026 implies a total required power of roughly 17 to 23 GW, averaging around 20 GW, and questions whether enough data centers are under...
kakashiii111.substack.com/p/nvidia-series-part-1-jensens-math

Kakashii Oct 5, 2026

Kakashii's long-standing thesis, which they say has gained support and validation over time, is that Blackwell GPUs had to be shipped to warehouses because there were not enough compatible datacenters (with the needed cooling and equipment) to...

kakashiii111.substack.com/p/nvidia-series-part-1-jensens-math

THE STRONGEST CASE AGAINST THIS SIDE

David George Sep 30, 2026

GPUs are already running hot even while the data indicates it's still very early in mature AI adoption and utilization.

Contradicts Michael Burry on evidence · www.a16z.news/p/state-of-markets-ii

6 VOICES

Still renting at January prices

David George Sep 30, 2026

GPUs are already running hot even while the data indicates it's still very early in mature AI adoption and utilization.

www.a16z.news/p/state-of-markets-ii

David George Sep 30, 2026

Since 2023, tech has been the earnings growth story, contributing about 76% of the S&P 500's total earnings growth in 2026 as of late August.

www.a16z.news/p/state-of-markets-ii

JunkBondInvestor Sep 13, 2026

Contracted GPU lease rates and second-hand prices have held up even for chips launched 3 to 6 years ago, and compute is now about 60% of hyperscaler capex, so the scarce, short-lived asset is a growing share of what is being financed.

www.junkbondinvestor.com/p/credit-weekly-when-the-pentagon-becomes

JunkBondInvestor Sep 13, 2026

The entire AI buildout has been constrained by scarcity of power, GPUs, transformers, interconnection, skilled labor and ready-to-use capacity, and this scarcity has propped up the economics of everything financed against it by holding up lease...

www.junkbondinvestor.com/p/credit-weekly-when-the-pentagon-becomes

Tae Kim Oct 2, 2026

Tae Kim believes that if OpenAI were public, its stock would have gapped up 30% or more on hitting $70 billion in ARR, a blowout versus expectations on the level of Nvidia in May 2023, and that the figure proves his August report that OpenAI's ARR...

taekim.substack.com/p/openais-undeniable-resurgence-and

Tae Kim Oct 2, 2026

Axios reported, and the Financial Times later confirmed the same day, that OpenAI's annual recurring revenue is nearing $70 billion, with enterprise sales more than doubled since July according to sources familiar with the financials.

taekim.substack.com/p/openais-undeniable-resurgence-and

THE STRONGEST CASE AGAINST THIS SIDE

Michael Burry Sep 28, 2026

CoreWeave and Nvidia's efforts to show stamina in the pricing of their chips are simply at odds with the depreciation realities lenders actually face.

Contradicts David George on evidence · michaeljburry.substack.com/p/short-thoughts-a-wall-street-titan

ALSO IN DISPUTE

Who writes the checks?

8 VOICES

Not the customers, yet

Torsten Slok Sep 26, 2026

Rates are rising for reasons beyond a strong economy: sticky inflation is lifting yields in the front end, record hyperscaler debt issuance is pressuring the belly, and fiscal worries are pushing up the long end.

www.apollo.com/insights-news/insights/daily-spark/recent-rates-volatility-risks-and-opportunities-in-credit

Torsten Slok Sep 11, 2026

This disclosure pattern still leaves investors without a verifiable link between AI capex and the top line.

www.apollo.com/insights-news/insights/daily-spark/from-who-is-deploying-ai-to-who-can-prove-the-roi

Michael Spencer Sep 11, 2026

Michael Spencer reads declining frontier model usage as a sign that enterprises, startups and power users are becoming more price conscious even as token prices fall, citing Ramp's index showing effective price per million tokens down 41% to $0.68...

www.ai-supremacy.com/p/ai-insights-is-ai-adoption-slowing-down-ai-risk-debate

Michael Spencer Sep 11, 2026

Michael Spencer argues that if there really is around US$3.5 trillion of off-the-books exposure on top of capex, the U.S. is in serious trouble if and when the AI boom falters, referencing an August Wall Street Journal report that combined...

www.ai-supremacy.com/p/ai-insights-is-ai-adoption-slowing-down-ai-risk-debate

Mia Silverio Oct 5, 2026

Anthropic's expected ~$2 trillion IPO valuation is not justified by its numbers, given that it would need $1.2 trillion in annual revenue within 10 years (per Aswath Damodaran) to justify that valuation while the entire current AI products and...

www.profgmedia.com/p/americans-are-turning-on-ai-anthropic

Mia Silverio Oct 5, 2026

Anthropic's customer concentration is a risk for its $2 trillion valuation: nearly a quarter of its 2025 revenue came from two customers and 47% of sales ran through Amazon and Google, which is an acceptable problem for a small company but not for...

www.profgmedia.com/p/americans-are-turning-on-ai-anthropic

Steve Eisman Sep 14, 2026

Nvidia's top five customers accounted for seventy percent of accounts receivable for the quarter, and some of those customers including OpenAI are not in especially healthy financial condition.

Steve Eisman Sep 18, 2026

Bessent's announced program to buy $4 billion, later raised to $6 billion, in long term Treasuries worked for one day before rates marched higher, so he needs a much bigger bazooka or an alternative buyer.

THE STRONGEST CASE AGAINST THIS SIDE

Jensen Huang Sep 29, 2026

NVIDIA will generate increasingly large amounts of cash from being at the center of what he calls the largest industrial infrastructure build out in human history, and the smart use of that cash is to buy NVIDIA stock because he believes it is...

Contradicts Steve Eisman on evidence · taekim.substack.com/p/jensen-huang-press-q-and-a-nvidia

7 VOICES

Everyone, soon

Aurelion Research Sep 11, 2026

The customer base is broadening beyond a concentrated set of hyperscalers to enterprises, AI-native companies and cloud providers, with AI-related infrastructure commitments expected to exceed $3.1 trillion, making the next phase of demand less...

read.aurelionresearch.com/p/in-conversation-nvidia

Aurelion Research Sep 11, 2026

Aurelion Research treats sharply rising third-party token forecasts — Dell moving from 1 quadrillion to 57 quadrillion tokens per month by end-2028, and a Goldman Sachs estimate roughly 10x Dell's revised number — as showing AI usage growing far...

read.aurelionresearch.com/p/in-conversation-nvidia

Tae Kim

OpenAI near $70B a year.

taekim.substack.com/p/openais-undeniable-resurgence-and

Kris Sep 16, 2026

AWS has had more demand than supply, with customers wanting more AWS capacity for AI than could be served despite large Nvidia orders and Amazon's own Trainium chips, and Kris considers this kind of capacity-constrained spending among the best...

www.potentialmultibaggers.com/p/best-buys-now-september-2026

Kris Sep 16, 2026

Broadcom and Nvidia can both be winners because ASICs that Broadcom helps hyperscalers and AI labs build are complementary to Nvidia's GPUs rather than competitors, contrary to the framing on social media.

www.potentialmultibaggers.com/p/best-buys-now-september-2026

Daniel Romero Oct 1, 2026

He is already highly concentrated in AI, mostly in power plays, memory, and AMD, and believes that even if the AI trade stays strong, other segments could possibly perform better, which is why he has started diversifying into semicaps.

Daniel Romero Sep 21, 2026

OpenAI's combined annualized revenue with Anthropic reached $105 billion (OpenAI $40 billion, Anthropic $65 billion) in July 2026, which is nowhere near the figure needed to support the modeled 2027 buildout, and this understates the true gap since...

hypertechinvest.com/p/the-math-behind-the-next-ai-rally

THE STRONGEST CASE AGAINST THIS SIDE

Torsten Slok Sep 29, 2026

The tech silo is betting on a future in which demand for AI and tech services explodes, while the silos covering the companies that would pay for those services see a much more modest outlook, and both cannot be right at the same time.

Contradicts Aurelion Research on evidence · www.apollo.com/insights-news/insights/daily-spark/tech-trillion-dollar-internal-inconsistency

ALSO IN DISPUTE

What does 5% do to the multiple?

2 VOICES

A growth signal near a peak

Michael Howell Sep 18, 2026

The recent rise in Treasury yields has been driven primarily by higher expected short-term interest rates rather than by expanding term premia, and there is a reasonable case that term premia have actually been declining.

capitalwars.substack.com/p/its-the-economy-stupid

Michael Howell Sep 27, 2026

Evidence of falling term premia is already visible in the 10-year versus 5-year yield spread narrowing to 13bp from over 45bp at the start of 2026.

capitalwars.substack.com/p/phoney-press-panic

THE STRONGEST CASE AGAINST THIS SIDE

TSCS Sep 21, 2026

Most of this year's rise in the 10-year yield is the real yield rather than inflation expectations: from the 27 February low the 10-year rose 104bp, of which 96bp was real yield and 8bp breakeven, with the market's decade-ahead inflation guess…

Contradicts Michael Howell on evidence · tscsw.substack.com/p/lehman-yields-no-lehman

8 VOICES

A long end nobody caps

TSCS Sep 16, 2026

As of writing, the ten-year reached 5.04%, the highest since 2007, Brent is over $100 and the S&P is a few percent off its high, so the market priced the hike it asked for and the long end rose anyway.

tscsw.substack.com/p/everything-goes-up-until-stocks-go

TSCS Sep 21, 2026

Most of this year's rise in the 10-year yield is the real yield rather than inflation expectations: from the 27 February low the 10-year rose 104bp, of which 96bp was real yield and 8bp breakeven, with the market's decade-ahead inflation guess…

tscsw.substack.com/p/lehman-yields-no-lehman

Vitaliy Katsenelson Sep 10, 2026

Bond investors are rejecting the government-set price for Treasuries because of large, unaddressed budget deficits that may grow rather than shrink over the next 10 years, and because budget deficits imply inflation; Vitaliy Katsenelson says they…

vitaliy.substack.com/p/narrative-change-part-1

Vitaliy Katsenelson Sep 10, 2026

Bond investors are declining to purchase US Treasuries at 4.7% because the US runs large budget deficits that may worsen, and budget deficits lead to inflation paid back through cheaper dollars.

vitaliy.substack.com/p/narrative-change-part-1

Torsten Slok Sep 29, 2026

The tech silo is betting on a future in which demand for AI and tech services explodes, while the silos covering the companies that would pay for those services see a much more modest outlook, and both cannot be right at the same time.

www.apollo.com/insights-news/insights/daily-spark/tech-trillion-dollar-internal-inconsistency

Torsten Slok Sep 12, 2026

Because data centers, power generation, transmission and government deficits are all long-duration claims on savings, the competition for capital concentrates at the long end of the curve, which is why long rates have moved more than short rates.

www.apollo.com/insights-news/insights/daily-spark/from-a-savings-glut-to-a-savings-shortage

Michael Burry Oct 5, 2026

Acting on the expected AI-boom-to-bust thesis, Michael Burry bought more MetLife (MET) 2029 puts far out of the money.

michaeljburry.substack.com/p/trading-post-october-5-2026

Michael Burry Sep 19, 2026

None of the hyperscalers' filings disclose how much of the reported AI demand and revenue growth is circular—originating on a company's own balance sheet and injected into customer companies that then leverage up to generate demand/revenue—and…

michaeljburry.substack.com/p/the-heretics-guide-to-ais-stars-part-c9c

THE STRONGEST CASE AGAINST THIS SIDE

Ren Oct 5, 2026

Big funds were buyers of tech through September, the only sector they added to, yet their exposure is still well below where it stood in July, meaning they have room to buy and know it; this caution is usually resolved by earnings, and a full…

Contradicts Michael Burry on evidence · renstocks.substack.com/p/early-october-portfolio-update-the

NOT A DISAGREEMENT

What the denominator is made of

Earnings, not multiples (Ren): tech's forward multiple up about 14% since October 2022, against 250% in the run to March 2000. Made by the buildout (George, Silverio): tech is 76% of S&P profit growth, half of it from AI spending. Paid for with bonds (Kunimoto): close to $250B of hyperscaler high-grade bonds in 2026.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

- Michael Spencer qualifies Michael Burry on premise
- Torsten Slok qualifies JunkBondInvestor on mechanism
- Aurelion Research contradicts Daniel Romero on premise
- Ren qualifies Michael Spencer on mechanism
- Torsten Slok qualifies Michael Spencer on mechanism
- Steve Eisman qualifies David George on mechanism
- Michael Burry contradicts Aurelion Research on evidence
- Daniel Romero qualifies David George on mechanism
- Torsten Slok contradicts Aurelion Research on evidence
- Torsten Slok contradicts Kris on evidence
- Aurelion Research contradicts Michael Burry on premise

Michael Spencer qualifies Steve Eisman on condition

Ren qualifies Michael Howell on condition

Steve Eisman refutes Ren on mechanism

Torsten Slok qualifies David George on mechanism

Steve Eisman qualifies Ren on mechanism

Michael Spencer qualifies Kris on condition

Michael Burry qualifies Michael Spencer on premise

Michael Spencer contradicts Aurelion Research on evidence

Ren qualifies Torsten Slok on premise

Aurelion Research qualifies Torsten Slok on evidence

Torsten Slok qualifies Daniel Romero on mechanism

Ren contradicts Steve Eisman on mechanism

Steve Eisman contradicts Ren on premise

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Oct 28, 2026 `p10-t01` PENDING

Microsoft and Alphabet report October 28, after Meta on October 21, and Amazon follows on October 29; depreciation, server lives and 29.5% growth will test the earnings denominator.

Question	Did the combined depreciation and amortization of Microsoft, Alphabet, Meta and Amazon for the quarter ended September 30, 2026 grow faster from the year-earlier quarter than their combined operating income?
Source	SEC EDGAR, the four companies' earnings releases (Form 8-K) and quarterly reports (Form 10-Q) `www.sec.gov/edgar/search/`
Rule	Sum depreciation and amortization, and sum operating income, for the four companies for the September quarter of 2026 and of 2025, from each release or 10-Q. The answer is yes if the year-over-year growth rate of depreciation is above the rate of operating income; no if it is equal or below. A change to server useful lives disclosed in the same filings is DeepStack's reading into the Result, not the answer.
If the source is late, revised or silent	If any of the four has not reported by November 7, 2026, or restates the year-earlier quarter, the test is inconclusive, and the Result says what was read and what was missing.

October 2026 p10-t02 PENDING

Anthropic filing or listing reveals audited revenue, losses and concentration, testing the $400B revenue milestone.

Question	Did Anthropic file a registration statement (Form S-1 or equivalent) with audited financial statements on SEC EDGAR, or begin trading, by October 31, 2026?
Source	SEC EDGAR, Anthropic filings `www.sec.gov/cgi-bin/browse-edgar?action=getcompany&company=anthropic&type=S-1`
Rule	The answer is yes if a registration statement for Anthropic carrying audited revenue, net loss and customer-concentration disclosures is public on EDGAR by October 31, 2026, or its shares begin trading by that date; no otherwise. The audited figures against the $400 billion run-rate line Romero named for the end of 2027, and the two-customer share Silverio cited, are DeepStack's reading into the Result.
If the source is late, revised or silent	A confidential draft filing reported in the press but not public on EDGAR, or a filing without audited statements, is inconclusive, and the Result says what was read and what was missing.

At 5.5% 10-year p10-t03 PENDING

A 5.5% Treasury yield tests Howell's turning-point history against TSCS's warning that the long end will keep rising.

Specification pending

Next used-GPU print p10-t04 PENDING

Three-year-old chip rents and resale prices show whether scarcity or durable economics supports hardware values.

Specification pending

Productivity data p10-t05 PENDING

A rise in total factor productivity would show the rest of the economy can write the checks; a flat reading leaves bondholders exposed.

Specification pending

Jul 12, 2027 p10-t06 PENDING

The record holds or breaks: whether the Thrift Savings Plan's C Fund, which holds the S&P 500 with dividends reinvested, closes above its October 6 high of $126.18 on any day through July 12, 2027.

Question	Does the C Fund of the Thrift Savings Plan, the federal employees' S&P 500 index fund, close above $126.1817, its highest share price through October 12, 2026 (set on October 6, 2026), on any business day from October 13, 2026 through July 12, 2027?
Source	Thrift Savings Plan, share price history of the C Fund (daily closing share prices, tsp.gov) `www.tsp.gov/share-price-history/`
Rule	Read the C Fund's daily share prices from October 13, 2026 through July 12, 2027 in the plan's share price history. The answer is yes if any of them is above $126.1817, the highest close through October 12, 2026 (October 6; the plan posted no price on October 12, a federal holiday); no if every one is at or below it. The fund holds the stocks of the S&P 500 and reinvests their dividends, so its share price is the record the test reads.
If the source is late, revised or silent	If the plan has not posted the prices through July 12, 2027 by July 19, 2027, the test is inconclusive, and the Result says what was read, what was missing and the day of the next reading. A price the plan corrects is read as corrected.

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. FactSet - S&P 500 earnings multiples and estimates · advantage.factset.com/hubfs/Website/Resources%20Section/Research%20Desk/Earnings%20Insight/EarningsInsight_100226.pdf
2. CNBC - 10-year Treasury yield · www.cnbc.com/2026/09/26/10-year-treasury-yield-is-at-its-highest-in-19-years-how-we-got-here.html
3. a16z - technology profit growth · www.a16z.news/p/state-of-markets-ii
4. Prof G Markets - AI and earnings · www.profgmedia.com/p/americans-are-turning-on-ai-anthropic
5. Aurelion Research - Nvidia and infrastructure · read.aurelionresearch.com/p/in-conversation-nvidia
6. Apollo - hyperscaler credit and cash flow · www.apollo.com/insights-news/insights/daily-spark/hyperscaler-credit-rests-on-one-consensus-assumption
7. Axios - OpenAI annual revenue · axios.com/2026/09/29/scoop-openais-annual-recurring-revenue-nears-70b
8. PYMNTS - Anthropic listing expectations · pymnts.com/news/artificial-intelligence/2026/anthropic-could-seek-2-trillion-valuation-in-record-ipo
9. BLS - productivity release · www.bls.gov/news.release/archives/prod2_09032026.htm

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How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 20, 2026. Canonical page: https://deepstack.ltd/stories/the-bubble-is-in-the-denominator/. Who is on each side: https://deepstack.ltd/sides/the-bubble-is-in-the-denominator/.

Analysis and opinion, not investment advice.